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FINANCIAL · PAYMENT NETWORKS

VISA

Visa Inc.

NYSE: V · Class A Common Stock · Credit Services / Payment Networks

\$375.07

Closing price, September 4, 2026 (–0.97% on the day)



Executive Summary

Business

Visa operates VisaNet, a four-party payment network that authorizes, clears and settles electronic payments between card-issuing banks, merchant-acquiring banks, merchants and consumers, without extending credit or bearing default risk itself. The company earns fees from financial-institution clients on payments volume, processed transactions and cross-border activity rather than from consumers directly. In fiscal 2025, Visa processed 329 billion transactions worth \$17 trillion in total volume across roughly 175 million merchant locations worldwide, with more than half of net revenue generated outside the United States.¹

Financial Condition

Net revenue reached \$40.0 billion in fiscal 2025 (ended September 30, 2025), up 11.3% year over year, extending a five-year streak of double-digit growth. Operating income was \$24.0 billion (60.0% margin) and net income was \$20.1 billion (50.1% margin); trailing-twelve-month figures through June 30, 2026 show revenue of \$44.5 billion and net income of approximately \$22.4 billion. Operating cash flow was \$23.1 billion and free cash flow \$21.6 billion in fiscal 2025, against a net debt position of \$7.1 billion (\$10.1 billion on a trailing basis).²

Market Position

Visa's principal competitors are Mastercard in four-party card networks, American Express and Discover in three-party closed-loop networks, and PayPal alongside a widening set of account-to-account and stablecoin-based alternatives in digital payments. Visa's chief advantage is the scale and reach of VisaNet, reinforced by network effects between issuers, acquirers and merchants; its principal structural weakness is dependence on card-based rails that are being challenged, gradually, by real-time account-to-account transfer schemes and by client-incentive economics that give large issuers negotiating leverage over Visa's net take rate.

Valuation

At the September 4, 2026 close of \$375.07, Visa's market capitalization was approximately \$688.5 billion and enterprise value approximately \$698.5 billion. The stock trades at 31.9 times trailing earnings, 25.2–25.9 times forward earnings, and approximately 24.9 times trailing EBITDA, versus a five-year historical range that has generally spanned the low-20s to mid-30s on trailing P/E.³

Investment Framework

What is attractive: a scaled, asset-light network with structurally high incremental margins, double-digit revenue growth sustained for over a decade, and a free-cash-flow generation profile that funds nearly \$23 billion of annual buybacks and dividends without impairing the balance sheet.

What is concerning: fiscal 2025 operating margin compressed roughly 570 basis points from fiscal 2024 as client incentives and operating costs grew faster than net revenue, a dynamic that recurred at a smaller scale in prior years and bears monitoring for whether it persists.

What must go right: continued growth in cross-border and value-added services revenue (which carry higher yields than core domestic processing) needs to offset incentive-driven pressure on the core network take rate.

What could break the thesis: accelerated disintermediation of card rails by real-time payment schemes, adverse regulatory action on interchange or network exclusivity in the United States, European Union or emerging markets, or a sustained step-up in incentive payments to issuers that Visa cannot offset with volume growth.

What appears to be priced in: a discounted-cash-flow cross-check (Section C5) suggests the current share price sits between this report's base and bull scenarios, implying the market is pricing high-single-digit to low-double-digit revenue growth sustained through the next five years alongside stable-to-improving free-cash-flow margins.

Investment Profile	
Business quality	High — asset-light, high-margin, low capital intensity network economics
Financial quality	High — strong cash conversion, investment-grade balance sheet, consistent capital returns
Competitive position	Strong — global duopoly-plus-fringe structure with durable network effects
Growth profile	Moderate-to-high — low-double-digit historical growth, decelerating toward high single digits
Balance-sheet risk	Low — net debt/EBITDA below 0.5x on either fiscal-2025 or trailing figures
Valuation	Full — trading near the upper half of its historical multiple range
Market and technical profile	Constructive — shares near 52-week highs, trading above both the 50-day and 200-day moving averages

1. Visa Inc., Form 10-K for fiscal year ended September 30, 2025, filed November 6, 2025 (Sourced).
2. Visa Inc. Form 10-K FY2025; StockAnalysis.com financial statements, updated July 29, 2026 (Sourced).
3. StockAnalysis.com and Alpha Vantage market data as of September 4-5, 2026; multiples calculated by the analyst where noted (Sourced / Reasoned).

A. About the Business

A1. Business Environment

Visa competes in global electronic payments infrastructure, the layer of financial services that moves value between payers and payees in place of cash or paper checks. The industry's value chain runs from card or account issuance (banks and fintechs), through network authorization, clearing and settlement (Visa, Mastercard and closed-loop competitors), to merchant acceptance (acquirers, payment facilitators and gateways). Visa itself occupies the network layer: it does not issue cards, extend credit, or bear consumer credit risk, which is retained by issuing banks.

The global payments industry has grown for two structural reasons: the secular shift from cash and check to electronic payment methods, particularly in emerging markets, and the expansion of e-commerce and cross-border commerce, which favor networked payment rails over bilateral banking relationships. Visa management has historically sized the addressable opportunity in the tens of trillions of dollars of consumer and business payment volume still conducted in cash, check or other non-card rails globally (Management claim, not independently verified in this report).

Economic value in payments is captured disproportionately by the entities that own the network and the data, rather than by issuers or acquirers, who compete more directly on price and are more exposed to credit risk. Network operators such as Visa benefit from two-sided network effects: more cardholders make a network more valuable to merchants, and more merchant acceptance makes it more valuable to cardholders and issuers, a dynamic that is difficult for a new entrant to replicate at scale (Reasoned).

Classification: the global card-payments industry is **mature and consolidating** in developed markets (the United States, Western Europe, parts of Asia-Pacific) but retains pockets of secular growth in cross-border commerce, value-added services (fraud, data and advisory) and in markets still transitioning from cash. It is simultaneously subject to structural disruption risk from real-time account-to-account payment schemes and stablecoin-based settlement, which bypass card rails entirely (Reasoned).

A2. What Does the Company Do?

Visa's core product is VisaNet, the processing network that authorizes, clears and settles transactions carrying the Visa, Visa Electron, V PAY, Interlink and PLUS brands. Visa's clients are approximately 15,000 financial institutions worldwide that issue Visa-branded credit, debit and prepaid cards and that acquire merchant transactions; Visa's revenue is earned from these institutional clients, not from cardholders or (in most cases) merchants directly.

Net revenue is earned across four principal categories: service revenue (fees for network access and services, tied to overall payments volume), data processing revenue (fees for authorization, clearing and settlement, tied to processed transactions), international transaction revenue (fees on cross-border transactions and currency conversion), and other revenue (value-added services including fraud management, advisory, and Visa Direct money-movement services). Against gross revenue, Visa records client incentives, a contra-revenue deduction reflecting payments and rebates to large issuers and merchants to secure or retain volume; the growth rate of client incentives relative to gross revenue is a key determinant of net revenue growth and margin trajectory.

The dollar flow through the business is straightforward relative to most large companies: a consumer's card payment generates a small fee (a fraction of one percent of transaction value) shared between the issuing bank, the acquiring bank and Visa's network; Visa's share (net of client incentives) flows through as revenue with minimal incremental cost, since the marginal cost of processing an additional transaction on VisaNet is very low. This drives Visa's structurally high gross and operating margins.

OPERATING MODEL FLOW

The most economically important parts of this model are the client-incentive line, which determines the spread between gross and net revenue and has grown consistently faster than gross revenue in recent years, and the near-total operating leverage of the processing network, under which incremental transaction volume carries very low marginal cost.

A3. Business and Relationship Network

VISA ECOSYSTEM MAP**Visa Inc.**

- **Issuing clients:** global and regional banks (for example JPMorgan Chase, Bank of America, Capital One) that issue Visa-branded cards and pay Visa service and data-processing fees, net of incentives
- **Acquiring clients:** merchant-acquiring banks and payment facilitators (for example Worldpay, Fiserv, Global Payments) that connect merchants to VisaNet
- **Merchants:** approximately 175 million locations worldwide accept Visa; large merchants and merchant associations periodically negotiate or litigate over interchange and network fees
- **Distribution and technology partners:** core banking and processing platforms, digital wallet operators (Apple Pay, Google Pay), and fintech program managers that embed Visa credentials in third-party apps
- **Strategic partners and investments:** fintech and infrastructure investments made through Visa Ventures; commercial partnerships with card networks in specific geographies (for example local debit schemes)
- **Regulators and networks bodies:** payment-system regulators and central banks in the United States, European Union, United Kingdom, India, Brazil and other major markets that oversee interchange levels and network access rules
- **Competitors:** Mastercard, American Express, Discover/Capital One, PayPal, and domestic card schemes (RuPay in India, UnionPay in China) that compete for issuer and merchant relationships in specific corridors

Issuing and acquiring clients matter economically because Visa's revenue is a function of the volume they route across VisaNet rather than of end-consumer relationships; large issuers therefore have real negotiating leverage over incentive payments, which is the principal mechanism by which Visa's take rate can compress. Distribution partners such as digital wallets matter because they influence which network credential is presented by default at checkout, a channel Visa does not fully control.

A4. Competition

Direct competitors in four-party card networks: Mastercard, the closest structural peer, operating an equivalent open-loop network at roughly 80% of Visa's net revenue scale. **Indirect / closed-loop competitors:** American Express and Discover operate three-party networks that both issue cards and acquire merchants, capturing a larger share of economics per transaction but at materially lower volume and narrower merchant acceptance than Visa or Mastercard. **Substitute products:** PayPal and other digital wallets intermediate payments (often still settling over card rails, making them partial substitutes and partial customers of Visa simultaneously); real-time account-to-account transfer schemes (UPI in India, Pix in Brazil, FedNow and RTP in the United States) bypass card rails entirely. **Emerging competitors:** stablecoin and blockchain-based settlement networks, which several large technology and payments companies are piloting for cross-border and B2B use cases. **Geographic competitors:** UnionPay in China and RuPay in India operate large domestic schemes with government backing that limit Visa's share in those markets.

COMPETITIVE COMPARISON — PAYMENTS NETWORKS AND ADJACENT PLAYERS

Company	What it sells	Target customer	Scale (TTM revenue)	Relative position vs. Visa
Visa (V)	Open-loop card network processing and value-added services	Global issuing and acquiring banks	\$44.5bn	Market leader by volume and margin
Mastercard (MA)	Open-loop card network processing and value-added services	Global issuing and acquiring banks	\$35.1bn	Closest peer; comparable margins, faster recent growth
American Express (AXP)	Closed-loop card issuance, network and merchant acquiring	Affluent consumers and commercial clients (direct)	\$70.9bn	Larger revenue base but structurally lower margin; bears credit risk Visa does not
PayPal (PYPL)	Digital wallet, checkout and peer-to-peer payments	Online consumers and merchants	\$34.1bn	Partial substitute and partial customer; materially lower margin and growth

Source: StockAnalysis.com company overviews, trailing-twelve-month figures as of September 4-5, 2026 (Sourced).

A5. Competitive Differences

Advantages: network effects between roughly 15,000 issuing and acquiring clients and 175 million merchant locations create high switching costs for any single participant to exit; VisaNet's scale gives it a durable per-transaction cost advantage; the Visa brand carries global acceptance recognition that is difficult and slow for a new entrant to replicate; and the business requires minimal balance-sheet capital relative to the volume it processes, since Visa does not extend credit.

Disadvantages: Visa depends on a relatively concentrated set of very large issuing clients (in the United States, a handful of megabanks originate a large share of card volume), giving those clients incentive-negotiation leverage; the core card-present, card-not-present model is exposed to disintermediation by real-time account-to-account rails, which several governments are actively promoting to reduce interchange costs; and Visa is recurrently exposed to antitrust and interchange regulation in multiple jurisdictions simultaneously.

The network-effect and scale advantages are **structural**; the current absence of large-scale, universally accepted account-to-account alternatives in the United States is more **temporary**, since several such schemes (FedNow, RTP) are still building merchant acceptance. Moat assessment: **Strong**. The two-sided network effect, global acceptance scale and multi-decade issuer relationships are difficult to replicate, but the moat is not unconditional, given regulatory exposure and the slow but real emergence of non-card payment rails (Reasoned).

A6. Industry Trend

Global card payments volume has grown at a high-single-digit to low-double-digit rate for over a decade, driven by continued displacement of cash and check, e-commerce growth, and cross-border travel and commerce recovery. Visa's own net revenue grew at an 11-13% compound rate over fiscal 2021-2025, roughly consistent with this backdrop plus incremental value-added-services growth. Pricing trends favor incumbents in developed markets (interchange caps limit upside but also limit new-entrant undercutting) while emerging markets offer higher volume growth but lower per-transaction economics.

The industry is **structurally transforming** along two axes simultaneously: continued secular growth in electronic payments overall, and a slow reallocation of share within electronic payments toward account-to-account and stablecoin rails in specific use cases (bill pay, B2B, and some peer-to-peer transfers). The trend could reverse toward card-rail advantage if account-to-account schemes fail to achieve comparable fraud protection, dispute resolution and merchant tooling, all of which favor Visa and Mastercard's decades of accumulated infrastructure (Reasoned).

A7. Management

Ryan M. McInerney, Chief Executive Officer and Director. A 1997 University of Notre Dame graduate, McInerney spent roughly a decade at McKinsey & Company and JPMorgan Chase, ultimately serving as CEO of Chase Consumer Banking, a business with more than 75,000 employees and approximately \$14 billion in revenue, before joining Visa in 2013. He served as Visa's President for nearly a decade before being named CEO in November 2022, effective February 2023, succeeding Alfred F. Kelly, Jr.⁴

Christopher (Chris) Suh, Chief Financial Officer. Suh joined Visa in 2023 from Electronic Arts, where he served as CFO, following more than 25 years in senior finance roles at Microsoft, including corporate vice president and CFO of the Cloud and AI group and five years leading investor relations. He succeeded Vasant Prabhu as Visa's CFO.⁵

Under McInerney and Suh, capital allocation has continued the pattern established by predecessor management: consistent double-digit growth in share repurchases (from \$8.8 billion in fiscal 2021 to \$18.6 billion in fiscal 2025) and steadily rising dividends per share, funded entirely from free cash flow without material net new borrowing. Insider ownership data was not independently retrieved for this report (Not Retrieved); institutional ownership stood at approximately 90% of shares outstanding per Alpha Vantage company data as of the report date. Capital allocation to date appears broadly aligned with shareholder interests, prioritizing buybacks and dividends over large, dilutive acquisitions (Reasoned).

4. Visa Inc. press release, "Visa Announces Leadership Transition," and Bloomberg Markets executive profile (Sourced).

5. PYMNTS.com, "Visa Appoints EA and Microsoft Veteran Chris Suh as CFO," and Visa Inc. investor relations press release (Sourced).

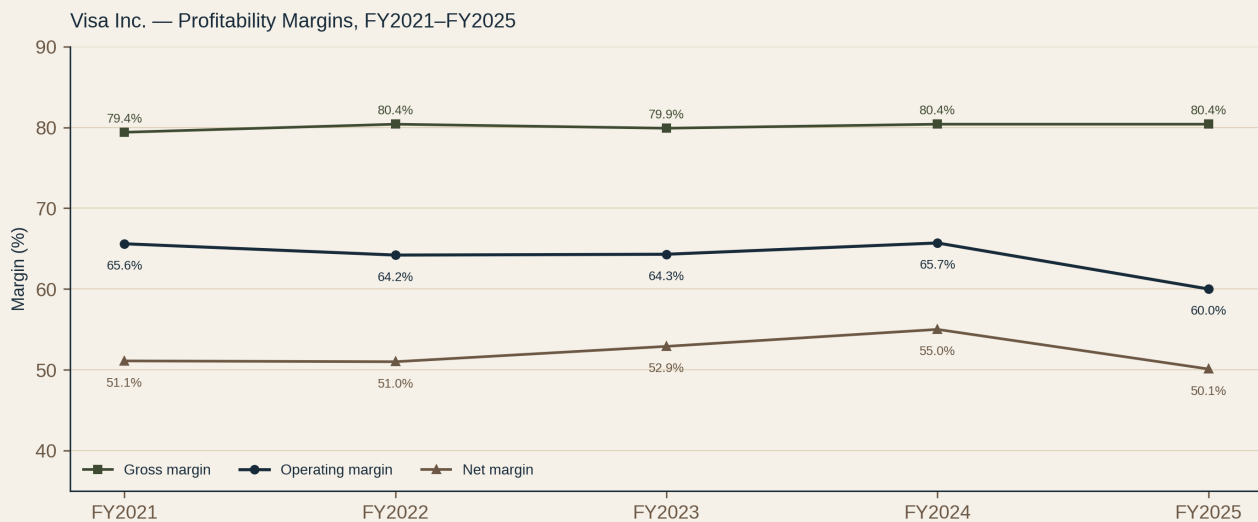
B. Evaluation

B1. Financial and Operating Metrics

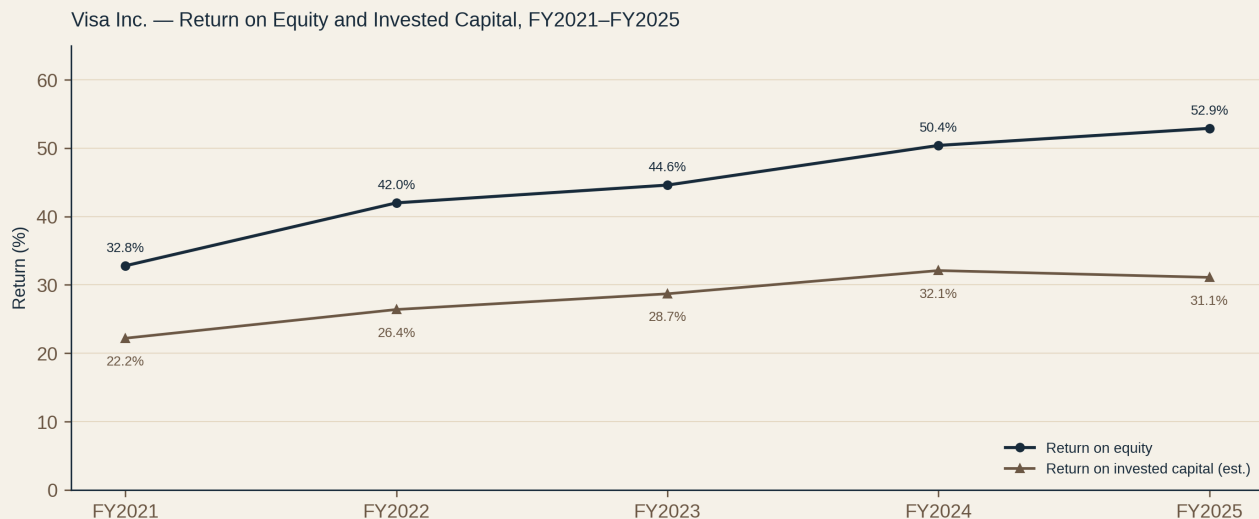
KEY RATIOS, FY2021–FY2025 (FISCAL YEAR ENDED SEPTEMBER 30)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	79.4%	80.4%	79.9%	80.4%	80.4%
Operating margin	65.6%	64.2%	64.3%	65.7%	60.0%
Net margin	51.1%	51.0%	52.9%	55.0%	50.1%
Return on equity	32.8%	42.0%	44.6%	50.4%	52.9%
Return on invested capital (est.)	22.2%	26.4%	28.7%	32.1%	31.1%
FCF margin	60.3%	61.0%	60.3%	52.0%	53.9%
Net debt / EBITDA	0.17x	0.24x	0.05x	0.25x	0.27x
Revenue CAGR (FY21-FY25)	13.5%				
Diluted EPS CAGR (FY21-FY25)	18.0%				

Source: Visa Inc. Form 10-K filings, FY2021-FY2025. Margins, returns and CAGRs calculated by the analyst (Reasoned); ROE = net income / average shareholders' equity; ROIC = operating income x (1 - effective tax rate) / (total debt + equity), an approximation that does not net cash or adjust for operating leases.



Source: Visa Inc. Form 10-K filings; margins calculated by the analyst (gross profit, operating income and net income divided by net revenue).



Source: Visa Inc. Form 10-K filings; ROE and ROIC calculated by the analyst. ROIC = NOPAT (operating income x (1-effective tax rate)) / (total debt + equity).

Gross margin has been remarkably stable at 79-80% across the period, consistent with the network's low marginal processing cost. Operating margin compressed by roughly 570 basis points in fiscal 2025, from 65.7% to 60.0%, as operating expenses (including client incentives and litigation-related provisions) grew faster than net revenue; this is the single most important financial development to monitor going into fiscal 2026, since a continuation of this trend would erode the operating-leverage thesis embedded in Visa's premium valuation. Return on equity has risen mechanically each year, driven partly by genuine earnings growth and partly by a shrinking equity base as buybacks exceed retained earnings. Asset and efficiency turnover ratios (inventory and receivables turnover) are not economically meaningful for a network business with negligible inventory and rapidly settling receivables, and are therefore not presented (Reasoned, per CLAUDE.md guidance to omit metrics that are not meaningful for the business).

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Business	Concentration among a small number of very large U.S. issuing banks, which hold negotiating leverage over incentive payments	High	Medium
Financial	Rising client incentives compressing net revenue and margin, as observed in FY2025	Medium-High	Medium-High
Competitive	Share loss to Mastercard in specific issuer relationships or geographies	Medium	Medium
Technological	Disintermediation by real-time account-to-account and stablecoin settlement rails	Medium	High (long-horizon)
Regulatory	Interchange caps, network-exclusivity restrictions or antitrust action in the U.S., EU, India or other major markets	Medium-High	Medium-High
Macro	Consumer spending slowdown reducing payments volume in a recession	Medium	Medium
Valuation	Multiple compression from a premium rating if growth decelerates toward mid-single digits	Medium	Medium-High

The three risks most capable of permanently impairing shareholder value are, in order: sustained regulatory action that caps interchange or mandates network access on materially less favorable terms in a large market such as the United States or European Union; a structural, multi-year acceleration of account-to-account and stablecoin payment adoption that bypasses card rails for a meaningful share of consumer and B2B volume; and a persistent, multi-year rise in client incentives that permanently resets Visa's net take rate lower, independent of any single year's fluctuation (Reasoned).

B3. Valuation

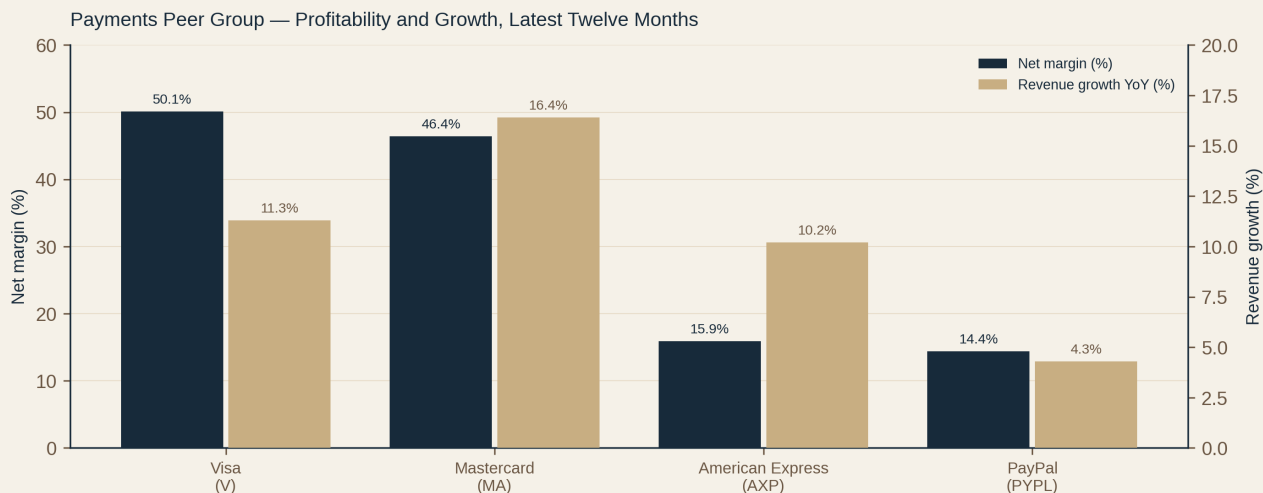
VALUATION MULTIPLES — VISA VS. PAYMENTS PEER GROUP (TRAILING TWELVE MONTHS)

Company	Market Cap	P/E	Fwd P/E	EV/Revenue	EV/EBITDA	Div. Yield
Visa (V)	\$688.5bn	31.9x	25.2x	16.3x	24.9x	0.71%
Mastercard (MA)	\$507.4bn	31.9x	27.2x	14.5x	n/a	0.60%
American Express (AXP)	\$220.3bn	19.8x	17.6x	3.1x	n/a	1.17%
PayPal (PYPL)	\$47.0bn	10.4x	9.9x	1.4x	n/a	1.02%

Source: StockAnalysis.com and Alpha Vantage market data, September 4-5, 2026. EV/Revenue for peers calculated by the analyst from reported market capitalization, total debt and cash; EV/EBITDA not shown where a consistent EBITDA figure was not available across providers within this report's time budget (Not Retrieved).



Source: StockAnalysis.com, closing prices and trailing EPS as of September 4, 2026.



Source: StockAnalysis.com, company filings; TTM figures as of most recent reported quarter through September 2026.

Visa trades at a trailing P/E essentially in line with Mastercard (31.9x versus 31.9x) but at a materially higher multiple than American Express (19.8x) and PayPal (10.4x), consistent with Visa and Mastercard's structurally higher margins and lower capital intensity relative to American Express's balance-sheet-heavy, credit-risk-bearing model and PayPal's slower growth and lower margin digital-wallet business. Against its own five-year history, Visa's trailing P/E of 31.9x sits in the upper half of the range the stock has traded since 2021, when double-digit growth resumed following the pandemic-era volume decline (Reasoned; precise historical multiple time series was not independently reconstructed in this report owing to data availability — Not Retrieved).

The current valuation requires continued double-digit-adjacent revenue growth, stable-to-improving free cash flow margins, and no structural re-rating of the client-incentive dynamic that compressed fiscal 2025 operating margin. Relative to the discounted-cash-flow ranges developed in Section C5, the current price of \$375.07 implies market expectations that sit between this report's base case (\$326 per share) and bull case (\$479 per share) — expectations that appear **optimistic but not extremely optimistic** relative to Visa's own trailing five-year growth record (Reasoned).

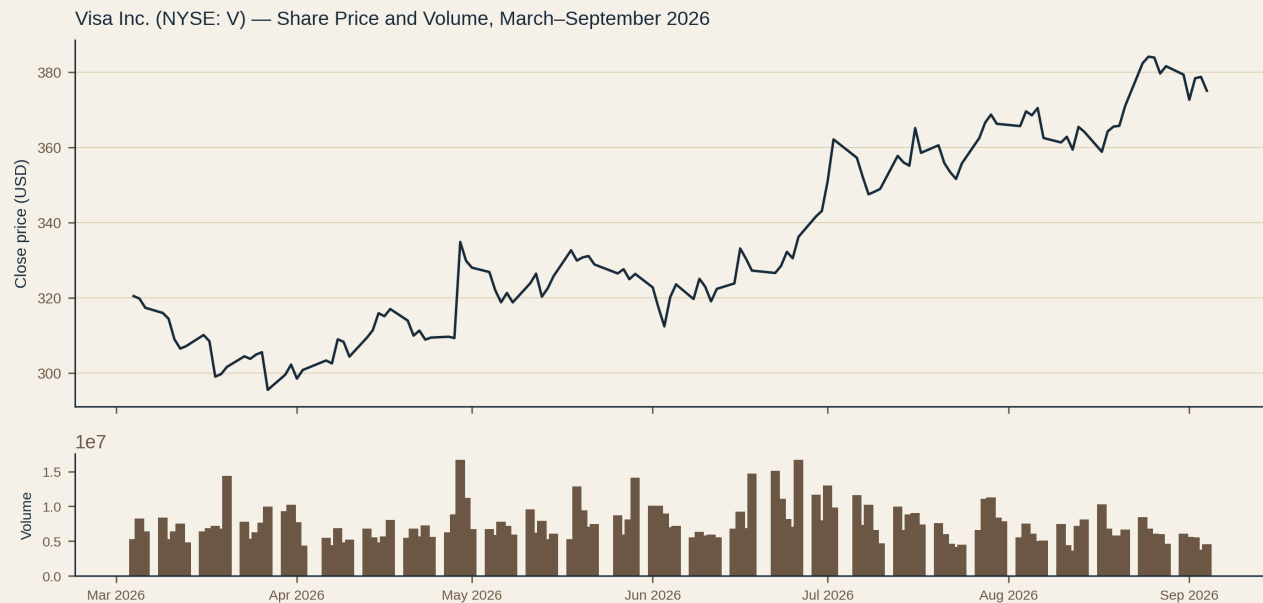
B4. Capital Market and Stock Analysis

VISA INC. (V) — PRICE PERFORMANCE AND TRADING STATISTICS

Metric	Value
Close, September 4, 2026	\$375.07
1-day change	-0.97%
1-month change (Aug 4 - Sep 4, 2026)	+1.6%
3-month change (Jun 4 - Sep 4, 2026)	+17.2%
6-month change (Mar 4 - Sep 4, 2026)	+17.1%
52-week range	\$293.89 – \$385.57
50-day moving average	\$363.19
200-day moving average	\$334.07
Beta (5-year, monthly)	0.76

Metric	Value
Analyst consensus (40 analysts)	Strong Buy
Average price target	\$419.36 (+11.8%)

Source: StockAnalysis.com and Alpha Vantage, closing data through September 4, 2026 (Sourced). Percentage changes calculated by the analyst from closing prices.



Source: S&P Global Market Intelligence via StockAnalysis.com, daily closing prices and volume, March 4, 2026 to September 4, 2026.

Visa shares have traded in a well-defined uptrend since early April 2026, advancing from the low \$300s to a 52-week high of \$385.57 in late August before settling just below that level into the report date. The stock trades above both its 50-day and 200-day moving averages, a configuration technicians generally read as constructive, and the 50-day average sits above the 200-day average (a "golden cross" configuration), consistent with sustained positive momentum rather than a recent reversal. Trading volume showed no unusual spikes outside of routine post-earnings sessions (late July 2026), suggesting the advance has been driven by steady institutional accumulation rather than a single catalytic event. None of this technical structure should be read as independent evidence of fundamental undervaluation; it describes market behavior, not intrinsic value (Reasoned).

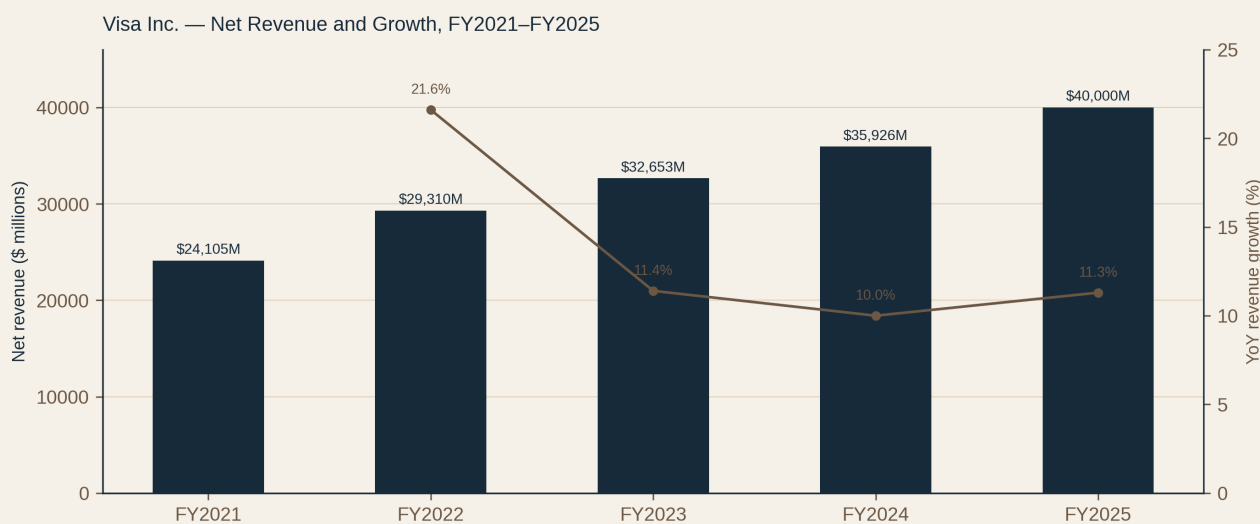
C. Financial Statements

C1. Income Statement

VISA INC. — CONSOLIDATED INCOME STATEMENT, FY2021-FY2025 (\$ MILLIONS, GAAP, REPORTED)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Net revenue	24,105	29,310	32,653	35,926	40,000
Cost of revenue	4,970	5,733	6,567	7,042	7,855
Gross profit	19,135	23,577	26,086	28,884	32,145
Operating income	15,804	18,813	21,000	23,595	23,994
EBITDA (aggregator-defined)	17,380	19,535	22,624	25,591	26,003
Interest expense	513	538	644	641	589
Income tax expense	3,752	3,179	3,764	4,173	4,136
Net income	12,311	14,957	17,273	19,743	20,058
Diluted EPS (\$)	5.91	7.51	8.76	10.05	11.47

Source: Visa Inc. Form 10-K filings, FY2021-FY2025, as aggregated and normalized to GAAP/SEC taxonomy fields (Sourced). EBITDA per data aggregator definition; not a Visa-reported GAAP measure.



Source: Visa Inc. Form 10-K filings (fiscal years ended September 30); Alpha Vantage aggregation. Fiscal year = October–September.

Revenue growth over FY2021-FY2025 was driven primarily by continued recovery and expansion of cross-border travel and e-commerce volume, growth in processed transactions (329 billion in FY2025), and expansion of value-added services, rather than by acquisitions or material currency tailwinds; Visa's revenue is substantially organic year to year (Reasoned, consistent with the company's limited M&A activity relative to revenue base). Operating leverage was positive in most years (operating income growing faster than revenue) but reversed in FY2025, when operating income grew only 1.7% against 11.3% revenue growth, indicating margin contraction rather than expansion for the year. Gross margin (79-80%) has been

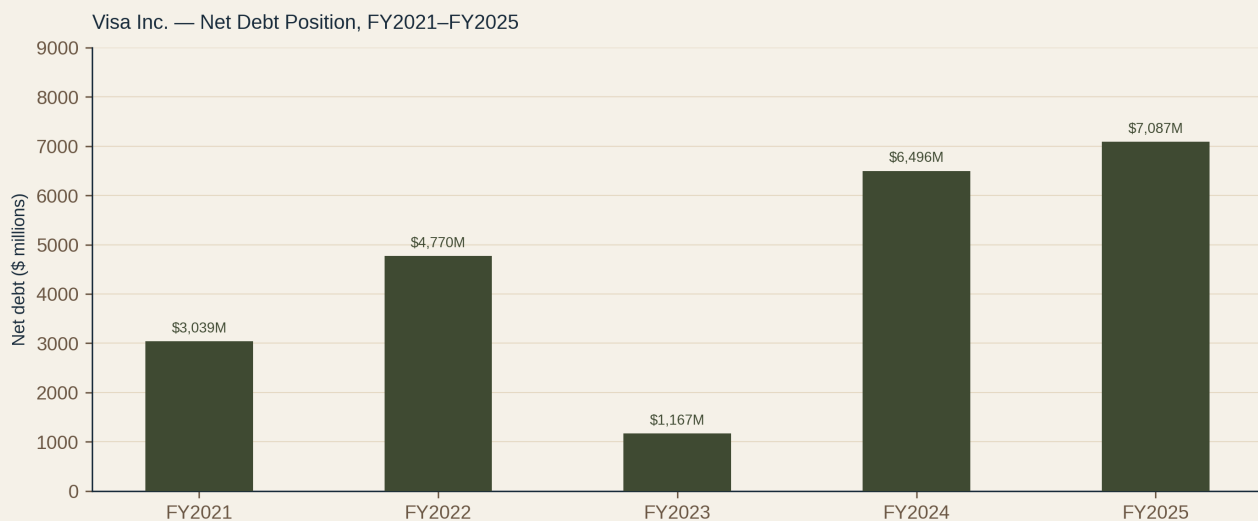
essentially stable, indicating that the FY2025 pressure sits below the gross-margin line, most likely in the client-incentive, opex or provisions layers of the P&L rather than in the direct cost of processing (Reasoned).

C2. Balance Sheet

VISA INC. — CONSOLIDATED BALANCE SHEET, FY2021-FY2025 (\$ MILLIONS, REPORTED)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash & short-term investments	18,512	18,522	20,128	15,175	18,997
Goodwill	15,958	17,787	17,997	18,941	19,879
Other intangible assets	28,784	26,656	27,901	29,049	30,245
Total assets	82,896	85,501	90,499	94,511	99,627
Total debt	21,551	23,292	21,295	21,671	26,084
Total liabilities	45,307	49,920	51,766	55,374	61,718
Shareholders' equity	37,589	35,581	38,733	39,137	37,909
Net debt / (net cash)	3,039	4,770	1,167	6,496	7,087

Source: Visa Inc. Form 10-K filings, FY2021-FY2025 (Sourced). Net debt calculated by the analyst as total debt less cash, cash equivalents and short-term investments.



Source: Visa Inc. Form 10-K filings, balance sheet. Net debt = total debt less cash, cash equivalents and short-term investments.

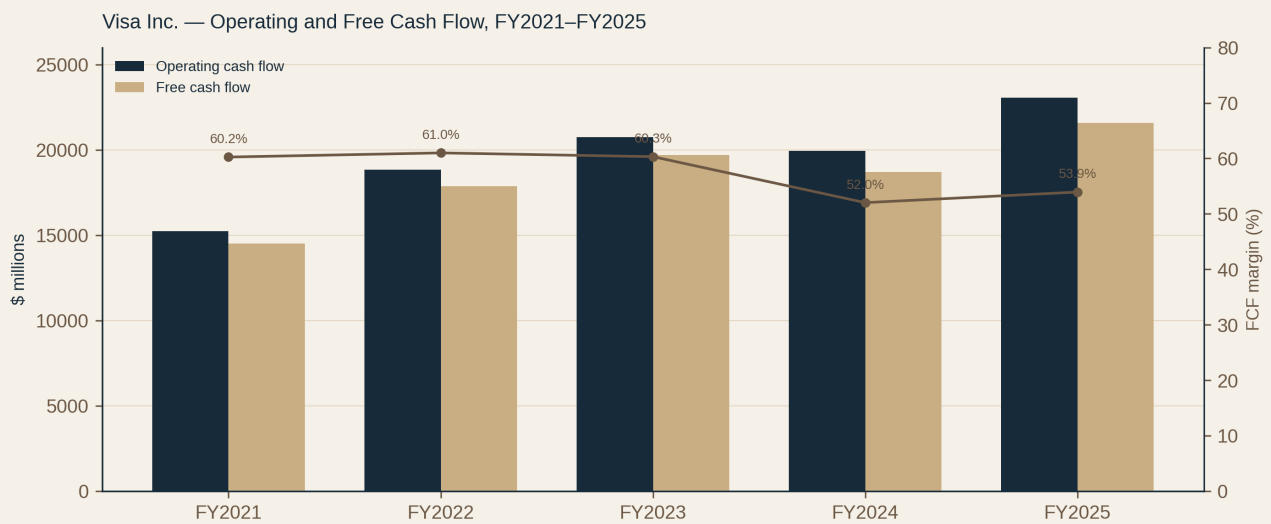
Visa's balance sheet carries a modest and consistently low net debt position, never exceeding 0.3 times EBITDA over the period, reflecting a deliberate policy of funding growth and shareholder returns from operating cash flow rather than leverage. Goodwill and intangible assets, largely relating to the 2016 Visa Europe acquisition, together represent roughly half of total assets; this concentration is a structural feature of the balance sheet rather than a red flag, since it reflects a completed strategic acquisition rather than ongoing serial dealmaking, but it does mean reported book value and tangible book value diverge sharply (tangible book value per share was negative as of the most recent reported quarter, a common feature of asset-light, intangible-heavy franchises and not, by itself, evidence of financial distress). Shareholders' equity has been roughly flat to modestly declining since FY2022 despite rising net income, because share repurchases have consistently exceeded net income retained, a capital-allocation choice rather than a sign of weakness (Reasoned).

C3. Cash Flow Statement

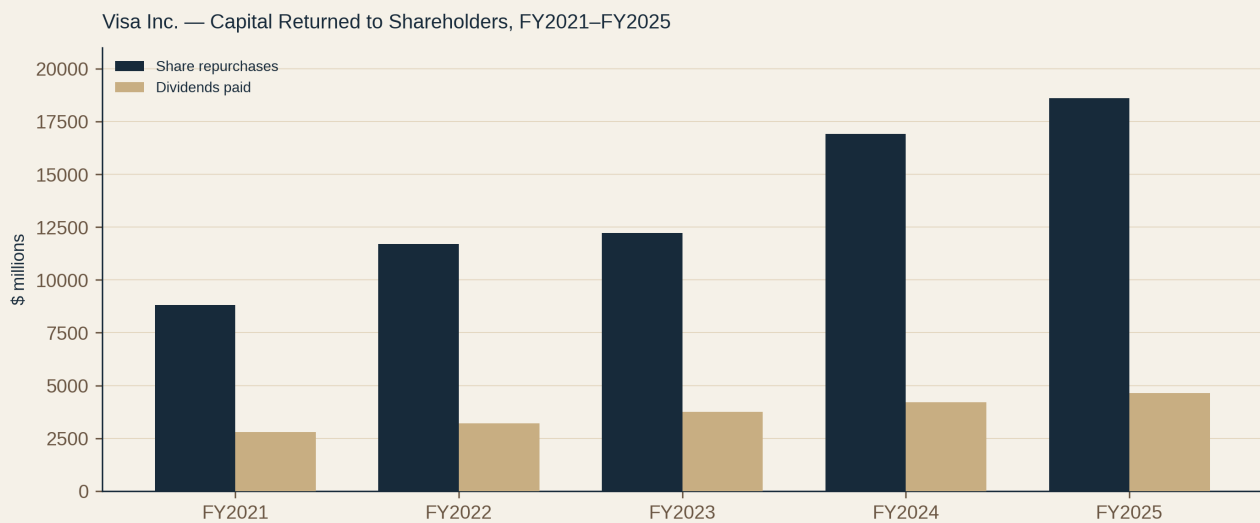
VISA INC. — CONSOLIDATED CASH FLOW STATEMENT, FY2021-FY2025 (\$ MILLIONS, REPORTED)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	15,227	18,849	20,755	19,950	23,059
Capital expenditure	(705)	(970)	(1,059)	(1,257)	(1,482)
Free cash flow	14,522	17,879	19,696	18,693	21,577
Share repurchases	(8,820)	(11,709)	(12,231)	(16,921)	(18,597)
Dividends paid	(2,798)	(3,203)	(3,751)	(4,217)	(4,634)

Source: Visa Inc. Form 10-K filings, FY2021-FY2025, as aggregated by StockAnalysis.com (Sourced). Free cash flow calculated as operating cash flow less capital expenditure.



Source: Visa Inc. Form 10-K filings, cash flow statements. Free cash flow = operating cash flow less capital expenditure (analyst calculation).



Source: Visa Inc. Form 10-K filings, cash flow statements (financing activities).

Free cash flow has grown from \$14.5 billion in FY2021 to \$21.6 billion in FY2025, though the FCF margin declined from a 60-61% range in FY2021-FY2023 to 52-54% in FY2024-FY2025, mirroring the operating-margin compression discussed above and indicating that the margin pressure is a cash phenomenon, not merely an accounting or non-cash charge. Net income and cash generation have remained broadly aligned throughout the period (operating cash flow consistently exceeds net income, indicating no material buildup of non-cash earnings), which is a marker of high earnings quality (Reasoned). Capital is overwhelmingly returned to shareholders rather than reinvested: capital expenditure has stayed below 4% of revenue in every year shown, while share repurchases alone have exceeded capital expenditure by a factor of roughly 12 to 15 times.

C. Financial Statements (continued)

C4. Forecasting and Projections

Revenue modeling for Visa is best approached top-down from historical growth deceleration: net revenue growth has averaged 13.5% compounded over FY2021-FY2025 but decelerated from higher rates in the immediate post-pandemic recovery years toward 11.3% in FY2025. A reasonable base-case forward path assumes gradual deceleration from double-digit toward high-single-digit growth as the base becomes larger and post-pandemic cross-border recovery normalizes, consistent with the scenario assumptions used in the discounted-cash-flow model below (Reasoned; this is a modeling assumption, not a company guidance figure).

Margin projections assume that fiscal 2025's operating-margin compression is partially, but not fully, structural: some reversion toward the 64-66% range observed in FY2021-FY2024 is plausible if client-incentive growth normalizes, but a full reversion is not assumed given the apparent multi-year trend of rising incentive intensity. Working capital and capital expenditure are assumed to remain a small share of revenue (capex below 4% of revenue), consistent with the asset-light network model and the historical record.

ILLUSTRATIVE SCENARIO ASSUMPTIONS, FY2026E-FY2030E

Assumption	Bear Case	Base Case	Bull Case
Revenue growth (5-year average)	6.0%	9.0%	11.0%
Free cash flow margin (steady-state)	48%	52%	55%
Discount rate (WACC)	9.0%	8.0%	7.5%
Terminal growth rate	3.0%	3.5%	4.0%

Analyst assumptions (Reasoned), calibrated to Visa's FY2021-FY2025 historical growth and margin record and to a low-beta, investment-grade discount-rate framework. Not company guidance or consensus estimates.

C5. Discounted Cash Flow Model

The DCF model projects unlevered free cash flow (approximated as net revenue multiplied by an assumed free-cash-flow margin, rather than a fully rebuilt line-by-line operating model) over a five-year explicit horizon from the fiscal 2025 revenue base of \$40.0 billion, discounted at the scenario-specific WACC, with a Gordon-growth terminal value applied to the final year's free cash flow. Net debt of \$10.1 billion (trailing twelve-month figure through June 30, 2026) and approximately 1.837 billion diluted shares outstanding are used to bridge from enterprise value to per-share equity value.

DISCOUNTED CASH FLOW OUTPUT — IMPLIED PER-SHARE VALUE

Scenario	Enterprise Value	Equity Value	Implied Value / Share
Bear case	\$376.6bn	\$366.5bn	\$199.52
Base case	\$609.6bn	\$599.6bn	\$326.38
Bull case	\$890.3bn	\$880.3bn	\$479.19

Analyst calculation (Reasoned), not a precise intrinsic-value estimate. Actual market price of \$375.07 (September 4, 2026) sits between the base and bull scenarios, above the model's base case.

This range should be read as illustrating sensitivity to growth, margin and discount-rate assumptions rather than as a price target. The base case, built on assumptions roughly consistent with Visa's own multi-year trend of decelerating but still-healthy growth, implies a value meaningfully below the current market price, while the bull case (sustained low-double-digit growth and margin expansion back toward historical highs) implies a value above it. The gap between these scenarios underscores that a large share of Visa's current valuation depends on whether fiscal 2025's margin compression and the deceleration implicit in the base case prove temporary or durable.

C6. Leveraged Buyout Analysis

A leveraged buyout analysis is not meaningful for Visa at its current scale and valuation. With an enterprise value of approximately \$698.5 billion against approximately \$23.9 billion of trailing total debt and \$27.0-31.1 billion of return on invested capital generated on a lightly levered balance sheet, no financial sponsor could plausibly finance a control transaction of this size, and Visa's own capital structure already operates near the low end of leverage typical for an investment-grade network business. This section is therefore Not Applicable for this company, consistent with the CLAUDE.md instruction to include LBO analysis only where applicable.

D. Investment Thesis

Bull Case

Revenue growth stabilizes in the low double digits as cross-border travel and value-added services (fraud, data, advisory, Visa Direct) continue to grow faster than core domestic processing; client-incentive growth normalizes, allowing operating margin to recover toward the 64-66% range observed in FY2021-FY2024; continued buybacks at the current pace reduce share count meaningfully, amplifying per-share earnings growth beyond underlying net income growth; and the market sustains or expands Visa's premium multiple as a scarce, high-quality compounder. Under these conditions, the bull-case DCF developed in Section C5 implies a value near \$479 per share.

Bear Case

Client-incentive growth proves structural rather than transitory, permanently resetting net revenue growth and operating margin lower; account-to-account and stablecoin payment rails achieve meaningful share in specific high-volume use cases (bill pay, B2B, some person-to-person transfers) faster than currently anticipated; a recession or sustained consumer spending slowdown reduces payments volume growth to low single digits; and the market re-rates the stock toward a multiple more consistent with a mature, moderate-growth financial-services franchise. Under these conditions, the bear-case DCF implies a value near \$200 per share, meaningfully below the current price.

Base Case

Revenue growth decelerates gradually from the low double digits toward high single digits over the next five years; operating margin stabilizes somewhat below the FY2021-FY2024 peak but does not continue to compress at the FY2025 rate; free cash flow margin holds in the low-50% range; and capital returned to shareholders continues to grow broadly in line with free cash flow. This scenario implies a DCF value near \$326 per share, below the current market price, suggesting the market is pricing in outcomes closer to, or better than, this report's bull case.

Catalysts

Near-term catalysts include quarterly earnings releases (the next scheduled disclosure is expected in late October 2026, based on Visa's historical reporting cadence), any update on the trajectory of client incentives as a percentage of gross revenue, developments in U.S. and European interchange or network-access regulation, continued execution of Visa Direct and stablecoin-settlement partnerships, and the pace of share repurchases relative to free cash flow generation.

Things to Monitor

MONITORING LIST

Metric / Event	Why It Matters	Positive Signal	Negative Signal
Client incentives as % of gross revenue	Primary driver of the net take rate and FY2025 margin compression	Growth decelerates toward gross revenue growth	Continues outgrowing gross revenue
Cross-border volume growth	Highest-yielding revenue category	Sustained double-digit growth	Deceleration below overall payments volume growth

Metric / Event	Why It Matters	Positive Signal	Negative Signal
Operating margin (quarterly)	Tests whether FY2025 compression persists or reverses	Sequential margin stabilization or recovery	Further year-over-year compression
Real-time payments adoption (FedNow, RTP, UPI, Pix)	Longest-horizon structural risk to card-rail volume	Adoption remains niche outside government-mandated corridors	Merchant acceptance broadens materially in the U.S. or EU
Regulatory and litigation developments	Interchange and network-access rules directly affect take rate	Status quo or incremental rule changes	Material adverse ruling or legislation in a large market

E. Final Investment Framework

Business quality	High. An asset-light network with structurally high margins, minimal capital intensity and durable two-sided network effects between issuers, acquirers and merchants.
Financial quality	High. Cash generation consistently exceeds net income, leverage is minimal, and capital returns to shareholders are fully funded from free cash flow.
Competitive position	Strong. Global scale and brand recognition place Visa alongside Mastercard at the top of the open-loop network industry, with meaningfully larger reach than closed-loop or digital-wallet competitors.
Management	Adequate to good. New CEO (since February 2023) and CFO (since 2023) bring relevant payments and technology-finance experience; capital allocation record to date is consistent with predecessor management's shareholder-friendly approach, but the leadership team's tenure at Visa specifically remains short relative to the company's multi-decade history.
Industry	Mature in developed markets with pockets of secular growth in cross-border and value-added services; simultaneously exposed to slow structural disruption from account-to-account and stablecoin payment rails.
Valuation	Full. Trailing and forward multiples sit at the upper half of Visa's own historical range and price in growth and margin assumptions between this report's base and bull scenarios.
Technical and market structure	Constructive. Shares trade near 52-week highs, above both the 50-day and 200-day moving averages, with no unusual volume anomalies.
Principal risk	A structural, multi-year rise in client incentives or a material regulatory reset of interchange economics in a large market, either of which would permanently lower the net take rate.
Principal catalyst	Stabilization or reversal of the FY2025 operating-margin compression in upcoming quarterly results.
Key variable	The trajectory of client incentives relative to gross revenue growth, which single-handedly explains most of the FY2025 margin story and will determine whether the base or bull scenario is closer to realized outcomes.
Thesis invalidation	The investment thesis would become materially weaker if operating margin continues to compress for two or more consecutive fiscal years, if net revenue growth falls below high single digits outside of a broader macro downturn, or if a major regulatory body materially caps interchange or mandates open network access in the United States or European Union.

F. Data Table

VISA INC. — STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market capitalization	\$688.5bn	n/a	n/a
Market	Enterprise value	\$698.5bn	n/a	n/a
Market	Share price (Sep 4, 2026)	\$375.07	n/a	n/a
Growth	Revenue growth (FY2025 vs FY2024)	11.3%	9.9%	13.5% CAGR
Profitability	Gross margin	80.4%	80.4%	Stable
Profitability	Operating margin	60.0%	65.7%	Compressing (FY25)
Profitability	Net margin	50.1%	55.0%	Compressing (FY25)
Profitability	Return on equity	52.9%	50.4%	Rising
Profitability	Return on invested capital (est.)	31.1%	32.1%	Rising, FY25 slight dip
Cash Flow	Operating cash flow (FY2025)	\$23,059M	\$19,950M	Rising
Cash Flow	Free cash flow (FY2025)	\$21,577M	\$18,693M	Rising
Leverage	Net debt / EBITDA	0.27x	0.25x	Low, stable
Valuation	P/E (trailing)	31.9x	n/a	Upper half of range
Valuation	EV/EBITDA	24.9x	n/a	n/a
Valuation	P/FCF (market cap / FCF)	31.9x	n/a	n/a
Market	Beta	0.76	n/a	n/a
Market	52-week range	\$293.89-\$385.57	n/a	n/a

Sources: Visa Inc. Form 10-K filings; StockAnalysis.com and Alpha Vantage market data as of September 4-5, 2026. Metrics marked "n/a" reflect data not independently reconstructed within this report's scope (Not Retrieved) rather than a zero or null value.

G. Sources and Methodology

Primary Sources

Visa Inc. — Form 10-K, fiscal year ended September 30, 2025, filed November 6, 2025. Used for the income statement, balance sheet, cash flow statement, business description and operating metrics (transactions processed, total volume, merchant locations).
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Secondary Sources

PYMNTS.com — "Visa Appoints EA and Microsoft Veteran Chris Suh as CFO," used for CFO career background.
www.pymnts.com/personnel/2023/visa-appoints-ea-microsoft-veteran-chris-suh-cfo

Bloomberg Markets — executive profile, used for CEO career background and appointment date.
www.bloomberg.com/profile/person/17310000

Electronic Payments International — "Visa reports net income rise of 2% in FY25," used to cross-check fiscal 2025 revenue and net income figures against the 10-K.
www.electronicpaymentsinternational.com/news/visa-fy25-net-income

Market Data

StockAnalysis.com (data sourced from S&P Global Market Intelligence and CBOE) — income statement, balance sheet and cash flow statement detail FY2021-FY2025, daily price history March-September 2026, and company/peer overview pages for Visa, Mastercard, American Express and PayPal, all accessed September 5-7, 2026.
stockanalysis.com/stocks/v/ | stockanalysis.com/stocks/ma/ | stockanalysis.com/stocks/axp/ | stockanalysis.com/stocks/pypl/

Alpha Vantage — company overview, valuation multiples, analyst ratings, moving averages, beta, dividend history and quarterly/annual earnings history, accessed September 7, 2026.
www.alphavantage.co

Calculations

Analyst calculations — gross, operating and net margins; free cash flow and FCF margin; return on equity and estimated return on invested capital; net debt; enterprise value cross-check; discounted cash flow scenarios (Section C5); and all percentage changes in the capital markets section, computed from the primary and market-data sources listed above.

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